

their best funds), then *have at it*. But the success of a handful of wildly successful firms attracts lots of imitators who lack the same skills, connections, and track records. You should approach any of these firms with much greater skepticism and caution about tying up your capital.

Private equity and private debt

When interest rates were low during the 2010s, investors sought higher-yielding options. Lending to private companies and private growth was one alternative. This made private equity and private debt the fastest growing alts. BNY Mellon noted that as of 2023, there were 1,080 private debt funds globally, up from 100 in 2011.⁴³¹ Assets have scaled up also, from less than a trillion dollars in the early 2000s to nearly \$12 trillion today.

There are so many different types of private equity and debt it is difficult to generalize. But the same admonitions go for these funds as any other. Always ask yourself why you are pursuing this structure; be aware of the higher costs. Make sure you are comfortable with long lock-up periods in these illiquid investments—some are 10–12 years! And beware of promises that sound too good to be true.

On my Master in Business podcast, I have interviewed many incredibly successful private equity and debt investors.⁴³² I wish I had a clue who these people were 20 to 30 years ago. Even better, I wish we knew today which PE funds will put up great numbers over the next 20 to 30 years. But I don't, and probably can't.

Crypto

It's hard to categorize things like Bitcoin or Ethereum. Are they currencies, commodities, or a separate speculative asset class? All three? I don't know.

I think of them like I do an individual company. As of late 2024, Bitcoin has a market cap of \$1.8 trillion. That is between the market caps of Facebook